

higher, no single stock ever had the impact of Chrysler because none ever represented such a large percentage of the fund while it rose. And I didn't even buy Chrysler at the bottom!

Other more daring Chrysler fans bought in at \$1.50 and made a 32-bagger out of it. Either way, Chrysler was a happy occurrence. So was Lockheed, which sold for \$1 in 1973, and even after the government bailed out the company you could have bought the stock for \$4 in 1977 and sold it for \$60 in 1986. Lockheed was one I missed.

In absolute dollars I get my greatest profits from the revival of the Chryslers and the Penn Centrals, bigger companies in which I can buy enough shares to have a meaningful impact on my fund.

It's not easy to compile lists of failed turnarounds except from memory, because their existence is wiped out of the S&P books, the chart books, and the stockbrokers' records, and these companies are never heard from again. I could attempt to reconstruct the rather long list of the failed turnarounds I wish I hadn't bought, except the mere idea of it gives me a headache.

In spite of this, the occasional major success makes the turnaround business very exciting, and very rewarding overall.

There are several different types of turnarounds, and I've owned all of them at one time or another. There's the bail-us-out-or-else kind of turnaround such as Chrysler or Lockheed, where the whole thing depended on a government loan guarantee. There's the who-would-have-thunk-it kind of turnaround, such as Con Edison. Who would ever have believed you could lose this much money in a utility, as the stock price fell from \$10 to \$3 by 1974; and who would have believed you could make this much, as the price rebounded from \$3 to \$52 by 1987?

There's the little-problem-we-didn't-anticipate kind of turnaround, such as Three Mile Island. This was a minor tragedy perceived to be worse than it was, and in minor tragedy there's major opportunity. I made a lot of money in General Public Utilities, the owner of Three Mile Island. Anybody could have. You just had to be patient, keep up with the news, and read it with dispassion.

After the original meltdown of the nuclear unit in 1979 the situation eventually stabilized. In 1985 GPU announced it was going to start up the sister reactor that had been turned off for years after the crisis but was unaffected by it. It was a good sign for the stock that they got that sister plant back on line, and an even better sign when other utilities agreed to share in the costs of the Three Mile Island cleanup. You had almost seven years to buy the stock after the place calmed down and all this good news had come out. The low of 3⅜ was reached in 1980, but you could still have gotten in for \$15 a share in late 1985 and watched the stock hit \$38 in October, 1988.